

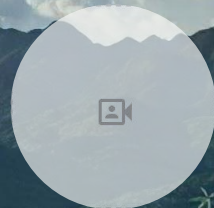
SMBs in Construction

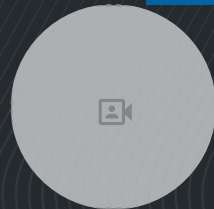
Insights from 31 interviews and survey data from general and specialty contractors.

Presented by the RIL

01

Software Procurement





Key Insight

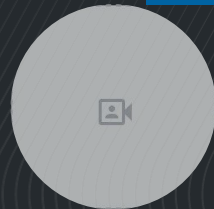
Smaller companies tend to use more tools for varied functions, and they value customization and integration.

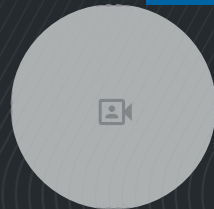
Larger companies look for specific capabilities to address gaps in their processes, and have more to spend on tools that support multiple business areas.



User Friendliness and Learnability a Universal Concern

Multiple companies across revenue bands expressed concern about training older employees and field staff to use new technology; user friendliness (including mobile functionality) is seen as one of the highest priorities.



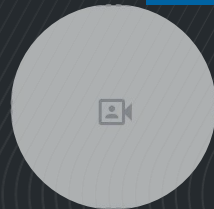


Decision Makers & Influencers

Companies usually have one or two final decision makers that may include a mix of executives, owners, operations managers, or, at smaller companies, key employees.

Sometimes, there may be only one sole decision-maker - two of these sole-decision makers noted that they desired more input from their employees who seemed to lack interest in the software procurement process.

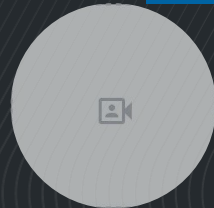
Those who identified as key influencers and joint-decision makers reported researching potential software, attending demos, presenting information to decision-makers, and contributing to discussions.



Demos & Trials

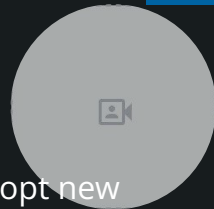
Many interviewees emphasize the importance of a trial period or demo to actually try out the software before committing. This was seen as a critical step in order to understand what is being offered for associated prices.

One owner explicitly stated he is "very weary" of software that doesn't offer a trial. This owner also reported calling references from other companies that use the software, particularly those within their specific industry as part of their vetting process.



Mobile Functionality

Mobile features are important to companies that need improved collaboration and efficiency, especially to coordinate with field staff. Procore and Service Box were noted as solutions with good mobile functionality that support invoicing and creating work orders. One interviewee had a clear need for a mobile solution to better track expenses, as current manual methods are time-consuming and prone to error. Another interviewee desired a mobile solution for timekeeping and payroll to move away from manual processes.

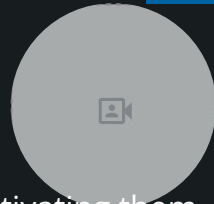


\$500K-6M

Companies in this band are often motivated to adopt new software to improve processes that are manual. Another key driver is the desire for better integration between different tools - participants in this band reported using up to 7 different tools.

Participants in this band also noted that HR and payroll were not areas that they wanted to change.

Several participants also expressed that they didn't feel a need to "over-digitize".



\$500K-6M

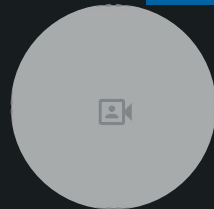
What do they want to digitize next, and what's motivating them to look for new tools?

1. More cell phone functionality for their field crew, easier way to do AP/AR per project
2. Inventory management
3. DocuSign
4. Digitize old projects for better forecasting
5. Automate billing/invoicing, digitize estimating
6. Mileage tracking
7. Automate sales-tax reconciliation



\$7M-30M

Larger companies take a more structured approach to software procurement. They have well-defined review and procurement processes in place, and may do detailed cost/benefit analysis considering time to implement and train for new software.



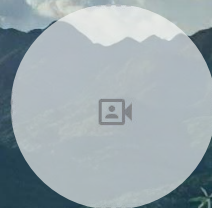
\$7M-30M

What do they want to digitize next, and what's motivating them to look for new tools?

1. Bid management including sending out vendor lists and selecting vendors, though they value the personal relationship aspect with subcontractors
2. A CRM that integrates with Aspire
3. Inventory and equipment management, automate payroll
4. RFIs, submittals, drawings, the directory

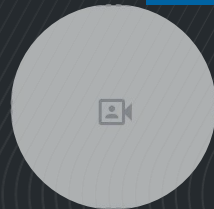
02

Insourcing & Outsourcing





Patterns in Insourcing & Outsourcing



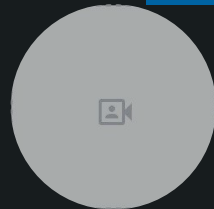
Tax preparation by an external CPA is consistent area of outsourcing across all revenue bands.

As companies grow, increased role specialization and formal departments show that they prefer hiring internally over outsourcing core functions.



Accounting and bookkeeping

Companies across all bands largely do the following accounting and bookkeeping in-house: expenses, budgeting, cash flow and profitability, estimates and proposals, billing, and payroll



What's unique to the smallest and largest?

Companies in the largest revenue bands maintained significant internal field crews and relied heavily on subcontractors.

The smallest companies used subcontractors to a lesser extent for specialty work and were more likely to only have internal field staff.



What \$500K-6M companies are outsourcing

Interviewees reported the following areas that are outsourced:

1. Detailing, estimating (partially outsourced), bookkeeping, taxes, cyber security consultant. This participant's general contractor picked compliance software.
2. Taxes, AP/AR, payroll, previously estimating, but they had a bad experience
3. Some HR through ADP, bookkeeping, taxes
4. Marketing, taxes, financial management, consultants
5. Insurance, retirement/401K
6. Tax, previously bookkeeping, but was unsatisfied



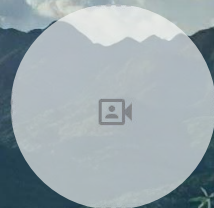
Hard to find the right fit

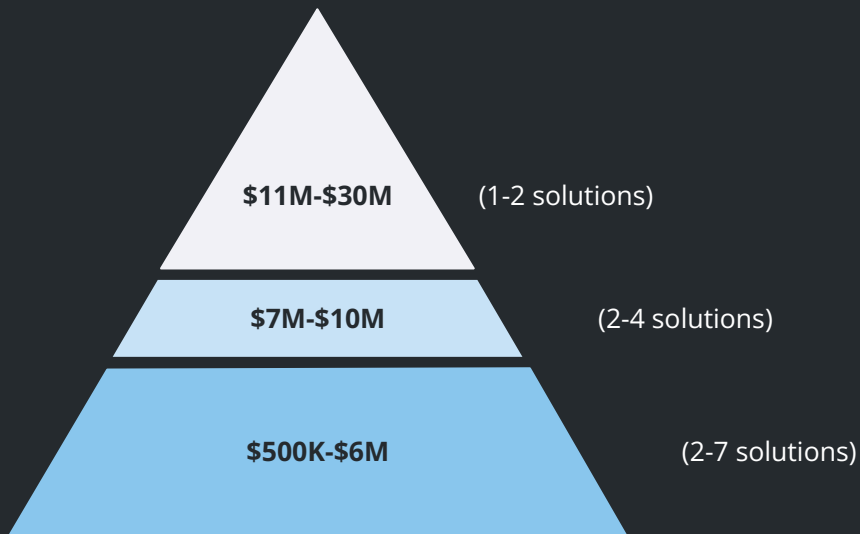
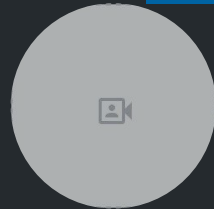
It is difficult to find skilled bookkeepers familiar with construction accounting, and there were low levels of satisfaction with external bookkeeping and estimating.

Only a small number of software tools are available specifically for construction accounting.

03

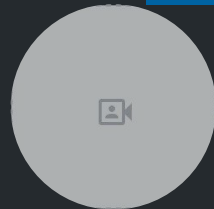
Current Tooling





As revenue increases, companies adopt more specialized and potentially integrated software.

Tooling also depends on number of employees, where companies with dedicated accounting staff or more internal field crew are more likely to need specialized tools.

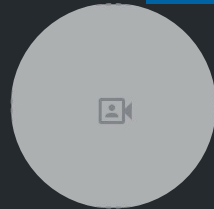


\$500K-\$6M
(2-7 solutions)

Some companies in the lower revenue bands rely heavily on one or two main systems (Quickbooks, Sage Contractor, Construction Online, BuilderTrend).

Others use a mix of 3 to 7 different tools for different business areas (Job Tread and Build Tools for bidding and proposal management, Monday.com for scheduling and time management, Trello for HR, Stack for estimating).

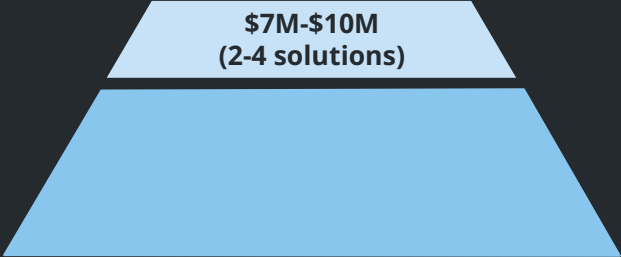
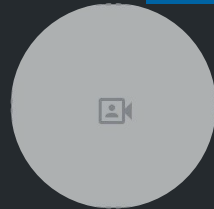
There is a need to balance having too many tools and findings solutions that are not too robust but still provide value.



\$500K-\$6M
(2-7 solutions)

One participant in this band noted that QuickBooks Online and Housecall Pro “do 95%” of what they need for a company with 6-10 employees. He also looked at about “half a dozen other CRMs” before deciding on Housecall Pro.

Another owner of company with 21-50 employees in this band uses a “hodgepodge of tools” (including BuilderTrend for project management, estimating, and client/vendor/employee database, QuickBooks, Adobe for plan markups, Google Drive for document management, Zoom/Teams/WebEx for meetings, Microsoft Suite, and ADP for payroll). They previously used Procore but found it too robust.

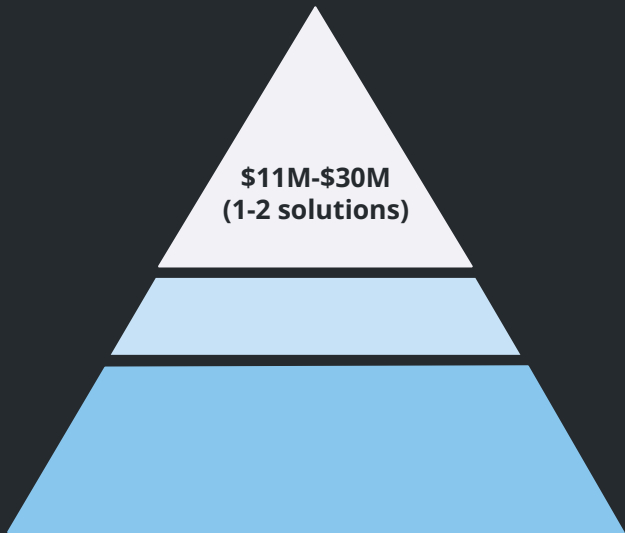
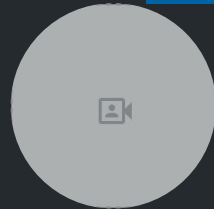


**\$7M-\$10M
(2-4 solutions)**

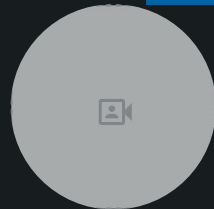
Companies in this revenue band mentioned using 2 to 4 core software packages that cover multiple business functions and are sometimes integrated (Aspire and QuickBooks Online).

Additional tools might be used for specific tasks like estimating or when dictated by external parties or parent companies.

Core tools used by these companies include Sage, QuickBooks, Aspire, and Procore.



Companies in the largest revenue bands were using Foundation, Procore, Equest, and Quickbooks as their core systems.



**What's working:
systems that
support multiple
business areas,
eliminating the
need for multiple
tools**

Systems that effectively combine varied capabilities:

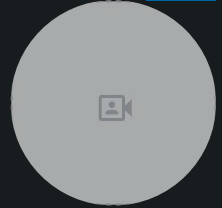
1. Sage (Intacct and 100) for expenses, billing, receivables, contracts, change orders, accounting, and scheduling
2. Aspire for lead generation all the way through invoicing - though not construction specific, they use a schedule of values for billing
3. BuilderTrend for managing client, vendor, and employee databases, communication, contracts, scheduling, billing, progress payments, status updates, photos, clocking in and out

Lack of Integrations: a consistent pain point across revenue bands

Specific mentions of desired integrations:

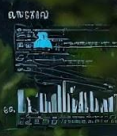
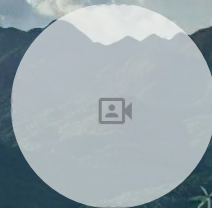
1. System Integrator and Quickbooks
2. Aspire with a CRM
3. ASA Rebar and Rebar CAD
4. Time tracking to payroll
5. Sage with anything

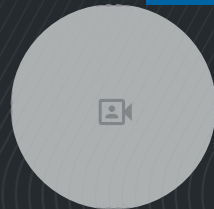
Only one existing integration mentioned between Aspire and QuickBooks Online, with satisfaction ranging from “marginally well” to 7 out of 10.



04

Performance Tracking Methods





KPIs

Types and sophistication of the KPIs varied across all revenue bands. As company size increases, the reliance on specialized tools for reporting and project finances increases.



\$500K-6M

In this revenue band, the focus is primarily on job profitability, often with limitations in granularity or real-time analysis. Some smaller companies struggled with managing basic financial indicators of project health.

Access to job profitability information isn't intentionally restricted from other employees. In companies with overlapping roles, there may be a desire to keep this information available to everyone rather than formally locked down. Profitability data is accessible but not actively reviewed by those outside financial management functions.

When companies hire more employees or have more defined project management roles, profitability data becomes more restricted.



\$500K-6M

KPIs used to assess project health were reported as:

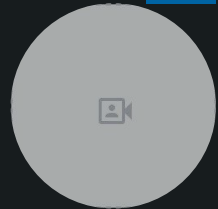
Job profitability vs budget, job profitability vs billed, total job costs vs billed, job profitability vs actual costs vs percentage goals, billed vs project timeline, percentage completed vs budget, AP/AR reports, profit and loss reports, cost and labor tracking, percentage completed vs hours budgeted, budget and schedule



\$7M-30M

This band shows consistent use of dedicated systems to track performance against budgets and operational metrics.

Companies above \$10M reported restricting access to profitability information.



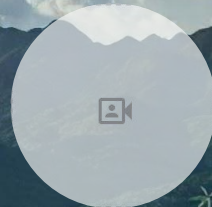
\$7M-30M

KPIs used to assess project health were reported as:

Cost vs budget, target margin vs labor and material costs, overall gross margin, percentage of direct labor, percentage of direct costs, percentage of hours used vs budgeted hours, job profitability, Gross Margin/profit margin per job, schedule, percent completed, expenses posted

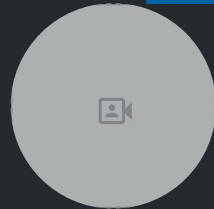
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NotebookLM





NotebookLM



 SMB Interviews

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Select all sources ☒

☒ ABC piping and co Transcript

☒ ATR Technologies inc Transcri...

☒ Alternative Mechanical Transc...

☒ Authentic Hardwood Flooring ...

☒ BSM Construction Transcript

☒ CT West Construction Transcr...

☒ CarrHomes Custom Build Tra...

☒ Clear Construction LLC Trans...

Chat

 SMB Interviews

17 sources

These texts consist of interview excerpts from individuals named Alberto, Arnold, Chris, Delmar, Jason, and Mark, each discussing aspects of their construction-related businesses. The conversations cover a range of topics including company structure and employee roles, the types and sizes of projects they undertake, their use of software and technology for various functions like payroll, estimating, and project management, and the challenges they face in adopting new digital tools. Several interviewees highlight the use of

Start typing...

17 sources

How are SMBs managing finances and accounting

Studio > Note

Filtering: Using Survey Data for Analysis

Normal

B

I

Transcripts in this notebook contain one interview and that interviewee's responses to a short survey. Survey responses can be used as filters or lenses when prompting the AI to analyze interviews. Use the categories below to focus on a specific response type or to compare responses across different groups.

You can combine multiple filters in a single prompt, like: "What challenges do plumbing contractors with \$10K-50K contract values and fewer than 20 employees mention when adopting scheduling tools?"

Here's what you can filter for in your prompts:

Decision-Making Role Regarding Software

1. Sole Decision-Maker

2. Joint Decision-Maker

3. Key Influencer

4. Provide Input / End-User

Convert to source

<https://notebooklm.google.com>

NotebookLM can be inaccurate; please double check its responses.

Open Notebook